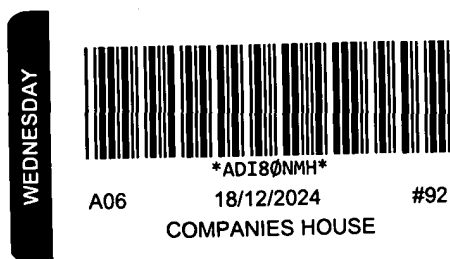


Company Registration No. 07200046 (England and Wales)

Gozney Group Limited
Annual report and
group financial statements
for the year ended 31 March 2024



Gozney Group Limited

Company information

Directors

Thomas Gozney
Laura Gozney
Simon Henderson
Richard Bannister
Patrick Bruce Jr
Mark Kosiba

Company number

07200046

Registered office

Bobby's Third Floor
2-12 Commercial Road
Bournemouth
BH2 5LP

Independent auditor

Saffery LLP
Midland House
2 Poole Road
Bournemouth
Dorset
BH2 5QY

Gozney Group Limited

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Gozney Group Limited

Strategic report

For the year ended 31 March 2024

The directors present the strategic report for the year ended 31 March 2024.

Fair review of the business

The principal activities of the business are the design, marketing, and sale of pizza ovens and related accessories for both home and restaurant use.

Despite challenging global market conditions for consumer products, the year ending March 2024 marked another period of strong growth for the Group. Gozney increased its annual revenues by 37%, reaching £60.6 million, up from £44.2 million in 2023. This growth was primarily driven by global expansion into wholesale markets, strengthened brand awareness, and the launch of new, innovative products in target markets. Throughout the year, the Group invested heavily in product development and will continue to launch high-quality, pioneering products in the years to come.

This was only the Group's second year selling products through wholesale channels in key global markets. As anticipated, the Group successfully built robust relationships with key retail partners, driving substantial growth in this channel. The leadership team remains confident that ongoing investment in localised sales teams will further strengthen partnerships with leading retailers, contributing to additional growth and heightened brand recognition.

In the year ending March 2024, Gozney continued to benefit from prior investments in global supply chain and logistics infrastructure, in addition to the favourable return of freight costs to pre-pandemic levels. Gross margins increased to 33.6%, a 21.7% improvement over the previous year.

Gozney has also continued its investment in personnel and marketing to bolster brand awareness throughout the year. Expansion in team size, marketing, and overhead costs contributed to a pre-tax loss of £1.4 million, compared to a loss of £9.0 million in the prior year. The Group remains confident that these investments will support strong revenue growth, with expectations to report a pre-tax profit next year.

Principal risks and uncertainties

The company's senior management regularly monitors risk levels to ensure they remain within acceptable thresholds. Currently, management has identified macroeconomic and geopolitical factors as the principal risks facing the business.

With global growth during the year ending March 2024, foreign exchange risk has become an area of focus for the Group. Although exposed to transactional exchange risk, the Group benefits from a natural hedge: US dollar income is used to purchase stock for the US market, thus mitigating exposure.

Key performance indicators

The Directors monitor the Group's performance using the following Key Performance Indicators (KPIs):

Turnover increased by 37% (2023: 62%), with growth driven by higher revenues in wholesale channels, enhanced global brand recognition, and the launch of new, innovative products.

Gross Profit as a Percentage of Turnover was 34% (2023: 12%). Ongoing investments in product quality, direct oversight of manufacturing, wholesale marketing partnerships, and expanded production capacity contributed to improved performance. Although these gains were partially offset by unprecedented increases in inbound and outbound freight costs, these pressures have since eased, and further improvements are anticipated.

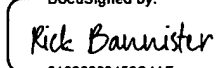
Operating Margin as a Percentage of Turnover was 0.002% (2023: -18.6%). This year-over-year improvement resulted from increased gross margins and revenue growth following strategic investments. The Group expects further operating margin gains, with recent investments establishing a solid foundation for accelerated growth and expansion into wholesale and distribution channels, as well as supporting significant product innovation. This positions Gozney optimally for future market opportunities.

Stock Turnover decreased to 3.3 times (2023: 4.3 times) as the Group sought to improve product availability in March within key markets ahead of the peak trading period from April to July.

Gozney Group Limited

Strategic report (continued)
For the year ended 31 March 2024

On behalf of the board

DocuSigned by:

01360089456C4AF...
Richard Bannister
Director

2 December 2024

Gozney Group Limited

Directors' report For the year ended 31 March 2024

The directors present their annual report and financial statements for the year ended 31 March 2024.

Principal activities

The principal activity of the group is that of the sale of pizza ovens and associated ancillaries and accessories.

Results and dividends

The results for the year are set out on page 9.

No ordinary dividends were paid. The directors do not recommend payment of a further dividend.

Directors

The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Thomas Gozney
Laura Gozney
Simon Henderson
Richard Bannister
Patrick Bruce Jr
Mark Kosiba

Economic environment and going concern

The groups operations continue to be subject to fluctuations in both global and local economic market conditions, which may have a material effect on the group's business, results of operations, and financial condition.

Further, the groups senior leadership understands the pressure that a high inflationary trend has on its customers and valued partners own business operations. These market uncertainties and risks are reviewed by leadership on a regular and ongoing basis to both mitigate any direct risk to the business and support our customers through these times.

In light of the current uncertainties in the market, the group continues to benefit from strong growth and demand.

The group has assessed the financial requirements of the business and has concluded that the business has adequate working capital and resources to continue trade through this period.

Auditor

The auditor, Saffery LLP, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Strategic report

The group has chosen in accordance with Companies Act 2006, s. 414C(11) to set out in the group's strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports)

Regulations 2008, Sch. 7 to be contained in the directors' report.

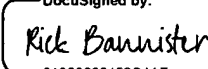
Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the auditor of the group is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the auditor of the group is aware of that information.

Gozney Group Limited

Directors' report (continued)
For the year ended 31 March 2024

On behalf of the board

DocuSigned by:

01360089456C4AF...
Richard Bannister
Director

2 December 2024

Gozney Group Limited

Directors' responsibilities statement For the year ended 31 March 2024

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law).

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company, and of the profit or loss of the group for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and company's transactions and disclose with reasonable accuracy at any time the financial position of the group and company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Gozney Group Limited

Independent auditor's report To the members of Gozney Group Limited

Opinion

We have audited the financial statements of Gozney Group Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 31 March 2024 which comprise the group statement of comprehensive income, the group statement of financial position, the company statement of financial position, the group statement of changes in equity, the company statement of changes in equity, the group statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group and of the parent company's affairs as at 31 March 2024 and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the group and parent company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Gozney Group Limited

Independent auditor's report (continued) To the members of Gozney Group Limited

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the group and the parent company and their environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the parent company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The specific procedures for this engagement and the extent to which these are capable of detecting irregularities, including fraud are detailed below.

Identifying and assessing risks related to irregularities:

We assessed the susceptibility of the group and parent company's financial statements to material misstatement and how fraud might occur, including through discussions with the directors, discussions within our audit team planning meeting, updating our record of internal controls and ensuring these controls operated as intended. We evaluated possible incentives and opportunities for fraudulent manipulation of the financial statements. We identified laws and regulations that are of significance in the context of the group and parent company by discussions with directors and by updating our understanding of the sector in which the group and parent company operates.

Laws and regulations of direct significance in the context of the group and parent company include The Companies Act 2006 and UK Tax legislation.

Gozney Group Limited

**Independent auditor's report (continued)
To the members of Gozney Group Limited**

Audit response to risks identified

We considered the extent of compliance with these laws and regulations as part of our audit procedures on the related financial statement items including a review of group and parent company financial statement disclosures. We reviewed the parent company's records of breaches of laws and regulations, minutes of meetings and correspondence with relevant authorities to identify potential material misstatements arising. We discussed the parent company's policies and procedures for compliance with laws and regulations with members of management responsible for compliance.

During the planning meeting with the audit team, the engagement partner drew attention to the key areas which might involve non-compliance with laws and regulations or fraud. We enquired of management whether they were aware of any instances of non-compliance with laws and regulations or knowledge of any actual, suspected or alleged fraud. We addressed the risk of fraud through management override of controls by testing the appropriateness of journal entries and identifying any significant transactions that were unusual or outside the normal course of business. We assessed whether judgements made in making accounting estimates gave rise to a possible indication of management bias. At the completion stage of the audit, the engagement partner's review included ensuring that the team had approached their work with appropriate professional scepticism and thus the capacity to identify non-compliance with laws and regulations and fraud.

There are inherent limitations in the audit procedures described above and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we would become aware of it. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

A further description of our responsibilities is available on the Financial Reporting Council's website at: <https://www.frc.org.uk/auditorsresponsibilities>. This description forms part of our auditor's report.

Use of our report

This report is made solely to the parent company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the parent company's members those matters we are required to state to them in an auditors report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the parent company and the parent company's members as a body, for our audit work, for this report, or for the opinions we have formed.



**Roger Wareham (Senior Statutory Auditor)
For and on behalf of Saffery LLP**

2 December 2024

Statutory Auditors

Midland House
2 Poole Road
Bournemouth
Dorset
BH2 5QY

Gozney Group Limited

**Group statement of comprehensive income
For the year ended 31 March 2024**

	Notes	2024 £	2023 £
Turnover	3	60,660,348	44,187,227
Cost of sales		(40,291,932)	(38,908,114)
Gross profit		20,368,416	5,279,113
Administrative expenses		(20,267,540)	(13,516,579)
Operating profit/(loss)	4	100,876	(8,237,466)
Interest receivable and similar income	8	6,340	-
Interest payable and similar expenses	9	(1,613,486)	(848,115)
Loss before taxation		(1,506,270)	(9,085,581)
Tax on loss	10	(106,562)	108,069
Loss for the financial year		(1,612,832)	(8,977,512)
Other comprehensive income			
Currency translation loss taken to retained earnings		(20,996)	(29,826)
Total comprehensive income for the year		<u>(1,633,828)</u>	<u>(9,007,338)</u>

Loss for the financial year is all attributable to the owners of the parent company.

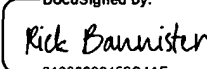
Total comprehensive income for the year is all attributable to the owners of the parent company.

Gozney Group Limited**Group statement of financial position
As at 31 March 2024**

		2024		2023	
	Notes	£	£	£	£
Fixed assets					
Intangible assets	11		691,690		450,598
Tangible assets	12		2,835,639		885,988
			<u>3,527,329</u>		<u>1,336,586</u>
Current assets					
Stocks	14	12,224,462		9,080,739	
Debtors	15	10,776,391		4,980,846	
Cash at bank and in hand		3,501,804		1,206,712	
		<u>26,502,657</u>		<u>15,268,297</u>	
Creditors: amounts falling due within one year	16	(24,830,705)		(15,852,899)	
Net current assets/(liabilities)			<u>1,671,952</u>		<u>(584,602)</u>
Total assets less current liabilities			<u>5,199,281</u>		<u>751,984</u>
Creditors: amounts falling due after more than one year	17		(3,604,268)		(3,964,741)
Provisions for liabilities					
Provisions	18	168,045		-	
			<u>(168,045)</u>		<u>-</u>
Net assets/(liabilities)			<u><u>1,426,968</u></u>		<u><u>(3,212,757)</u></u>
Capital and reserves					
Called up share capital	22		170		159
Share premium account	23		17,100,953		10,827,411
Profit and loss reserves	23		(15,674,155)		(14,040,327)
Total equity			<u><u>1,426,968</u></u>		<u><u>(3,212,757)</u></u>

These financial statements have been prepared in accordance with the provisions relating to medium-sized groups.

The financial statements were approved by the board of directors and authorised for issue on 2 December 2024 and are signed on its behalf by:

DocuSigned by:

01360089456C4AF...
Richard Bannister
Director

Company registration number 07200046 (England and Wales)

Gozney Group Limited**Company statement of financial position
As at 31 March 2024**

		2024		2023	
	Notes	£	£	£	£
Fixed assets					
Intangible assets	11		691,690		450,598
Tangible assets	12		2,835,752		885,988
			<u>3,527,442</u>		<u>1,336,586</u>
Current assets					
Stocks	14	3,788,483		5,378,496	
Debtors	15	28,699,352		7,218,688	
Cash at bank and in hand		2,100,701		934,916	
		<u>34,588,536</u>		<u>13,532,100</u>	
Creditors: amounts falling due within one year	16	<u>(34,575,781)</u>		<u>(12,602,172)</u>	
Net current assets			<u>12,755</u>		<u>929,928</u>
Total assets less current liabilities			<u>3,540,197</u>		<u>2,266,514</u>
Creditors: amounts falling due after more than one year	17		(814,390)		(3,964,741)
Provisions for liabilities					
Provisions	18	168,045	<u>(168,045)</u>		<u>-</u>
Net assets/(liabilities)			<u><u>2,557,762</u></u>		<u><u>(1,698,227)</u></u>
Capital and reserves					
Called up share capital	22		170		159
Share premium account	23		17,100,953		10,827,411
Profit and loss reserves	23		<u>(14,543,361)</u>		<u>(12,525,797)</u>
Total equity			<u><u>2,557,762</u></u>		<u><u>(1,698,227)</u></u>

As permitted by s408 Companies Act 2006, the company has not presented its own profit and loss account and related notes. The company's loss for the year was £2,017,564 (2023 - £7,164,785 loss).

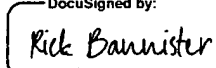
These financial statements have been prepared in accordance with the provisions relating to medium-sized companies.

Gozney Group Limited

Company statement of financial position (continued)

As at 31 March 2024

The financial statements were approved by the board of directors and authorised for issue on 2 December 2024 and are signed on its behalf by:

DocuSigned by:

01360089456C4AF...
Richard Bannister
Director

Company registration number 07200046 (England and Wales)

Gozney Group Limited**Group statement of changes in equity
For the year ended 31 March 2024**

	Notes	Share capital £	Share premium account £	Profit and loss reserves £	Total £
Balance at 1 April 2022		154	8,542,490	(5,032,989)	3,509,655
Year ended 31 March 2023:					
Loss for the year		-	-	(8,977,512)	(8,977,512)
Other comprehensive income:					
Currency translation differences		-	-	(29,826)	(29,826)
Total comprehensive income		-	-	(9,007,338)	(9,007,338)
Issue of share capital	22	5	2,284,921	-	2,284,926
Balance at 31 March 2023		159	10,827,411	(14,040,327)	(3,212,757)
Year ended 31 March 2024:					
Loss for the year		-	-	(1,612,832)	(1,612,832)
Other comprehensive income:					
Currency translation differences		-	-	(20,996)	(20,996)
Total comprehensive income		-	-	(1,633,828)	(1,633,828)
Issue of share capital	22	11	6,273,542	-	6,273,553
Balance at 31 March 2024		170	17,100,953	(15,674,155)	1,426,968

Gozney Group Limited

**Company statement of changes in equity
For the year ended 31 March 2024**

	Notes	Share capital £	Share premium account £	Profit and loss reserves £	Total £
Balance at 1 April 2022		154	8,542,490	(5,361,012)	3,181,632
Year ended 31 March 2023:					
Loss and total comprehensive income for the year		-	-	(7,164,785)	(7,164,785)
Issue of share capital	22	5	2,284,921	-	2,284,926
Balance at 31 March 2023		159	10,827,411	(12,525,797)	(1,698,227)
Year ended 31 March 2024:					
Profit and total comprehensive income		-	-	(2,017,564)	(2,017,564)
Issue of share capital	22	11	6,273,542	-	6,273,553
Balance at 31 March 2024		170	17,100,953	(14,543,361)	2,557,762

Gozney Group Limited**Group statement of cash flows
For the year ended 31 March 2024**

	Notes	£	2024 £	£	2023 £
Cash flows from operating activities					
Cash absorbed by operations	27		(4,871,234)		(4,535,524)
Interest paid			(1,157,433)		(848,115)
Income taxes paid			-		(346)
Net cash outflow from operating activities			(6,028,667)		(5,383,985)
Investing activities					
Purchase of intangible assets		(448,433)		(201,933)	
Purchase of tangible fixed assets		(2,721,483)		(554,559)	
Interest received		6,340		-	
Net cash used in investing activities			(3,163,576)		(756,492)
Financing activities					
Proceeds from issue of shares		5,687,460		2,284,926	
Share issue costs		(216,407)		-	
Issue of debentures		1,613,550		2,332,991	
Repayment of debentures		(1,254,190)		-	
Proceeds from new bank loans		2,789,878		-	
Net cash generated from financing activities			8,620,291		4,617,917
Net decrease in cash and cash equivalents			(571,952)		(1,522,560)
Cash and cash equivalents at beginning of year			(3,025,727)		(1,459,441)
Effect of foreign exchange rates			(20,996)		(43,726)
Cash and cash equivalents at end of year			(3,618,675)		(3,025,727)
Relating to:					
Cash at bank and in hand			3,501,804		1,206,712
Bank overdrafts included in creditors payable within one year			(7,120,479)		(4,232,439)

Gozney Group Limited

Notes to the financial statements For the year ended 31 March 2024

1 Accounting policies

Company information

Gozney Group Limited ("the company") is a private company limited by shares incorporated in England and Wales. The registered office is Bobby's Third Floor, 2-12 Commercial Road, Bournemouth, BH2 5LP.

The group consists of Gozney Group Limited and all of its subsidiaries.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

The company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements for parent company information presented within the consolidated financial statements:

- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues: Interest income/expense and net gains/losses for financial instruments not measured at fair value; basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment': Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements;
- Section 33 'Related Party Disclosures': Compensation for key management personnel.

The consolidated group financial statements consist of the financial statements of the parent company Gozney Group Limited together with all entities controlled by the parent company (its subsidiaries) and the group's share of its interests in joint ventures and associates.

All financial statements are made up to 31 March 2024. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the group.

All intra-group transactions, balances and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

Gozney Group Limited**Notes to the financial statements (continued)
For the year ended 31 March 2024****1 Accounting policies (continued)****1.2 Going concern**

The directors have assessed the financial position of the group and concluded it is appropriate to prepare the financial statements on a going concern basis.

Since the balance sheet date the significant investment in management team, supply chain infrastructure, sales channels and marketing have all made a positive impact to the growth and profitability of the business as planned. The Board is of the opinion that the group has access to adequate working capital facilities, existing shareholders and existing lenders who continue to support the business at its current level.

1.3 Turnover

Turnover is recognised at the fair value of the consideration received or receivable for pizza ovens and associated accessories sold, as well as the services provided in the normal course of business to install and deliver the products, and is shown net of VAT and other sales related taxes. The fair value of consideration takes into account trade discounts, settlement discounts and volume rebates.

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer (usually on dispatch of the goods), the amount of revenue can be measured reliably, it is probable that the economic benefits associated with the transaction will flow to the entity and the costs incurred or to be incurred in respect of the transaction can be measured reliably.

1.4 Research and development expenditure

Research expenditure is written off against profits in the year in which it is incurred. Identifiable development expenditure is capitalised to the extent that the technical, commercial and financial feasibility can be demonstrated.

1.5 Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Software	25% straight line
Intellectual property	5% - 10% straight line
Website costs	25% straight line

1.6 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Leasehold land and buildings	10% - 25% straight line
Plant and machinery	25% - 50% straight line
Fixtures, fittings & equipment	25% - 50% straight line

Gozney Group Limited

Notes to the financial statements (continued)

For the year ended 31 March 2024

1 Accounting policies (continued)

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the income statement.

1.7 Fixed asset investments

Equity investments are measured at fair value through profit or loss, except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably, which are recognised at cost less impairment until a reliable measure of fair value becomes available.

In the parent company financial statements, investments in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

Entities in which the group has a long term interest and shares control under a contractual arrangement are classified as jointly controlled entities.

1.8 Impairment of fixed assets

At each reporting period end date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The carrying amount of the investments accounted for using the equity method is tested for impairment as a single asset. Any goodwill included in the carrying amount of the investment is not tested separately for impairment.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.9 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

Gozney Group Limited

Notes to the financial statements (continued) For the year ended 31 March 2024

1 Accounting policies (continued)

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in profit or loss.

1.10 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1.11 Financial instruments

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the group's statement of financial position when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Gozney Group Limited

Notes to the financial statements (continued) For the year ended 31 March 2024

1 Accounting policies (continued)

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Derecognition of financial liabilities

Financial liabilities are derecognised when the group's contractual obligations expire or are discharged or cancelled.

1.12 Equity instruments

Equity instruments issued by the group are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

1.13 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

Gozney Group Limited

Notes to the financial statements (continued) For the year ended 31 March 2024

1 Accounting policies (continued)

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Where items recognised in other comprehensive income or equity are chargeable to or deductible for tax purposes, the resulting current or deferred tax expense or income is presented in the same component of comprehensive income or equity as the transaction or other event that resulted in the tax expense or income. Deferred tax assets and liabilities are offset when the company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.14 Provisions

Provisions are recognised when the group has a legal or constructive present obligation as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting end date, taking into account the risks and uncertainties surrounding the obligation. Where the effect of the time value of money is material, the amount expected to be required to settle the obligation is recognised at present value. When a provision is measured at present value, the unwinding of the discount is recognised as a finance cost in profit or loss in the period in which it arises.

1.15 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.16 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

Gozney Group Limited

Notes to the financial statements (continued)

For the year ended 31 March 2024

1 Accounting policies (continued)

1.17 Share-based payments

Equity-settled share-based payments are measured at fair value at the date of grant by reference to the fair value of the equity instruments granted. The fair value determined at the grant date is expensed on a straight-line basis over the vesting period, based on the estimate of shares that will eventually vest. A corresponding adjustment is made to equity.

The expense in relation to options over the parent company's shares granted to employees of a subsidiary is recognised by the company as a capital contribution, and presented as an increase in the company's investment in that subsidiary.

1.18 Leases

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

1.19 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation in the period are included in profit or loss.

2 Critical accounting judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Critical judgements

The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements.

Stock provisioning

The directors continuously monitor the company's stock levels and aging to maintain a reasonable stock provision. The provision is the directors' best estimate and is based on judgements surrounding the future saleability of stock lines.

Depreciation and amortisation

Depreciation and amortisation is provided at rates calculated to write off the cost less estimated residual value of each asset of its expected useful life. The useful life of each category of assets is a judgement made by the directors using assumptions based upon historical experience and current trends.

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**3 Turnover and other revenue**

	2024	2023
	£	£
Turnover analysed by class of business		
Product sales	60,660,348	44,187,227
	<u>60,660,348</u>	<u>44,187,227</u>
	2024	2023
	£	£
Other revenue		
Interest income	6,340	-
	<u>6,340</u>	<u>-</u>

No detailed geographical split of turnover has been given as, in the opinion of the directors; it would be seriously prejudicial to the group.

4 Operating profit/(loss)

	2024	2023
	£	£
Operating profit/(loss) for the year is stated after charging/(crediting):		
Exchange losses/(gains)	113,683	(167,394)
Research and development costs	339,359	154,660
Depreciation of owned tangible fixed assets	798,691	372,073
Loss on disposal of tangible fixed assets	59,533	-
Amortisation of intangible assets	119,022	96,667
Operating lease charges	349,809	225,671
	<u>1,670,097</u>	<u>685,667</u>

5 Auditor's remuneration

	2024	2023
	£	£
Fees payable to the company's auditor and associates:		
For audit services		
Audit of the financial statements of the group and company	38,200	33,000
	<u>38,200</u>	<u>33,000</u>

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**6 Employees**

The average monthly number of persons (including directors) employed by the group and company during the year was:

	Group 2024 Number	2023 Number	Company 2024 Number	2023 Number
Board	9	6	5	5
Marketing	18	12	10	8
Sales	17	10	4	3
Customer Experience	10	9	6	6
Operations	22	16	9	8
Finance/HR	13	9	11	9
Design	12	8	12	8
Total	101	70	57	47

Their aggregate remuneration comprised:

	Group 2024 £	2023 £	Company 2024 £	2023 £
Wages and salaries	6,710,303	3,928,795	1,969,070	1,884,925
Social security costs	648,517	430,542	337,849	244,724
Pension costs	171,055	163,406	76,551	61,212
	7,529,875	4,522,743	2,383,470	2,190,861

7 Directors' remuneration

	2024 £	2023 £
Remuneration for qualifying services	552,544	394,250
Company pension contributions to defined contribution schemes	9,733	3,312
	562,277	397,562

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 1 (2023: 1).

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**7 Directors' remuneration (continued)**

Remuneration disclosed above includes the following amounts paid to the highest paid director:

	2024	2023
	£	£
Remuneration for qualifying services	257,952	177,040

8 Interest receivable and similar income

	2024	2023
	£	£
Interest income		
Interest on bank deposits	6,340	-

9 Interest payable and similar expenses

	2024	2023
	£	£
Interest on bank overdrafts and loans	1,613,486	848,115

10 Taxation

	2024	2023
	£	£
Current tax		
UK corporation tax on profits for the current period	236,568	(163,000)
Adjustments in respect of prior periods	-	54,585
Total UK current tax	236,568	(108,415)
Foreign current tax on profits for the current period	61,822	346
Total current tax	298,390	(108,069)
Deferred tax		
Origination and reversal of timing differences	(191,828)	-
Total tax charge/(credit)	106,562	(108,069)

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**10 Taxation (continued)**

The actual charge/(credit) for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2024	2023
	£	£
Loss before taxation	(1,506,270)	(9,085,581)
Expected tax credit based on the standard rate of corporation tax in the UK of 25.00% (2023: 19.00%)	(376,568)	(1,726,260)
Tax effect of expenses that are not deductible in determining taxable profit	9,282	333
Change in unrecognised deferred tax assets	802,970	1,797,427
Permanent capital allowances in excess of depreciation	(291,055)	(47,105)
Research and development tax credit	236,568	-
Other non-reversing timing differences	(72,716)	-
Other permanent differences	-	(24,049)
Under/(over) provided in prior years	-	54,585
Unutilised losses carried forward	(147,103)	(163,000)
Effect of foreign tax rates	(54,816)	-
Taxation charge/(credit)	106,562	(108,069)

11 Intangible fixed assets

Group	Software	Intellectual property	Website costs	Total
	£	£	£	£
Cost				
At 1 April 2023	68,867	483,094	348,013	899,974
Additions	4,037	371,194	73,202	448,433
Disposals	(52,995)	(5,300)	(276,648)	(334,943)
Transfers	5,572	(282,074)	201,615	(74,887)
At 31 March 2024	25,481	566,914	346,182	938,577
Amortisation and impairment				
At 1 April 2023	55,421	115,721	278,234	449,376
Amortisation charged for the year	8,799	25,661	84,562	119,022
Disposals	(52,995)	(5,300)	(276,648)	(334,943)
Transfers	(625)	29,120	(15,063)	13,432
At 31 March 2024	10,600	165,202	71,085	246,887

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**11 Intangible fixed assets (continued)**

Carrying amount				
At 31 March 2024	14,881	401,712	275,097	691,690
At 31 March 2023	13,446	367,373	69,779	450,598
Company	Software	Intellectual property	Website costs	Total
	£	£	£	£
Cost				
At 1 April 2023	68,867	483,094	348,013	899,974
Additions	4,037	371,194	73,202	448,433
Disposals	(52,995)	(5,300)	(276,648)	(334,943)
Transfers	5,572	(282,074)	201,615	(74,887)
At 31 March 2024	25,481	566,914	346,182	938,577
Amortisation and impairment				
At 1 April 2023	55,421	115,721	278,234	449,376
Amortisation charged for the year	8,799	25,661	84,562	119,022
Disposals	(52,995)	(5,300)	(276,648)	(334,943)
Transfers	(625)	29,120	(15,063)	13,432
At 31 March 2024	10,600	165,202	71,085	246,887
Carrying amount				
At 31 March 2024	14,881	401,712	275,097	691,690
At 31 March 2023	13,446	367,373	69,779	450,598

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**12 Tangible fixed assets**

Group	Leasehold land and buildings	Plant and machinery	Fixtures, fittings & equipment	Total
	£	£	£	£
Cost				
At 1 April 2023	33,961	1,926,227	269,540	2,229,728
Additions	9,656	1,236,499	1,475,328	2,721,483
Disposals	(33,963)	(1,117,756)	(139,525)	(1,291,244)
Transfers	1,072,507	(56,989)	(940,631)	74,887
At 31 March 2024	1,082,161	1,987,981	664,712	3,734,854
Depreciation and impairment				
At 1 April 2023	22,156	1,136,160	185,424	1,343,740
Depreciation charged in the year	54,410	553,150	191,131	798,691
Eliminated in respect of disposals	(32,234)	(1,056,724)	(140,826)	(1,229,784)
Transfers	(37,441)	26,447	(2,438)	(13,432)
At 31 March 2024	6,891	659,033	233,291	899,215
Carrying amount				
At 31 March 2024	1,075,270	1,328,948	431,421	2,835,639
At 31 March 2023	11,805	790,067	84,116	885,988

Gozney Group Limited**Notes to the financial statements (continued)
For the year ended 31 March 2024****12 Tangible fixed assets (continued)**

Company	Leasehold land and buildings	Plant and machinery	Fixtures, fittings & equipment	Total
	£	£	£	£
Cost				
At 1 April 2023	33,961	1,926,227	269,540	2,229,728
Additions	9,656	1,236,499	1,474,823	2,720,978
Disposals	(33,963)	(1,117,138)	(139,525)	(1,290,626)
Transfers	1,072,507	(56,989)	(940,631)	74,887
At 31 March 2024	1,082,161	1,988,599	664,207	3,734,967
Depreciation and impairment				
At 1 April 2023	22,156	1,136,160	185,424	1,343,740
Depreciation charged in the year	54,410	553,150	191,131	798,691
Eliminated in respect of disposals	(32,234)	(1,056,724)	(140,826)	(1,229,784)
Transfers	(37,441)	26,447	(2,438)	(13,432)
At 31 March 2024	6,891	659,033	233,291	899,215
Carrying amount				
At 31 March 2024	1,075,270	1,329,566	430,916	2,835,752
At 31 March 2023	11,805	790,067	84,116	885,988

13 Subsidiaries

Details of the company's subsidiaries at 31 March 2024 are as follows:

Name of undertaking	Address	Nature of business	Class of shares held
Gozney Inc.	1	Sale of Pizza Ovens	Ordinary
Gozney Australia Pty Limited	2	Sale of Pizza Ovens	Ordinary
Gozney GmbH	3	Sale of Pizza ovens	Ordinary
Gozney (Shanghai) Business Trading Co. Ltd	4	Quality Control	Ordinary

Registered office addresses:

1 Gozney Inc, 2700 Rasmussen Rd L-50, Park City, UT 84098, USA

2 65 York Street, GPO Box 4198, Sydney, NSW 2001 Australia

3 Hohenstaufenring 62, 50674 Köln, Germany

4 HealthWork Creative Industry Center, No. 697 Lingshi Road, Jing 'an District, Shanghai

The parent company directly owns 100% of the share capital of each of its subsidiaries.

Gozney Australia Pty Limited, Gozney GmbH and Gozney (Shanghai) Business Trading Co. Ltd were incorporated during the year and Gozney Group Limited has held this investment since incorporation date.

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**14 Stocks**

	Group	2023	Company	2023
	2024		2024	
	£	£	£	£
Finished goods and goods for resale	12,224,462	9,080,739	3,788,483	5,378,496

15 Debtors

	Group	2023	Company	2023
	2024		2024	
	£	£	£	£
Amounts falling due within one year:				
Trade debtors	9,195,355	3,840,995	2,725,881	982,576
Corporation tax recoverable	41,432	278,000	41,432	278,000
Amounts owed by group undertakings	-	-	24,603,341	5,279,019
Other debtors	260,731	384,704	257,457	384,704
Prepayments and accrued income	924,573	314,675	716,941	131,917
	10,422,091	4,818,374	28,345,052	7,056,216
Deferred tax asset (note 19)	354,300	162,472	354,300	162,472
	10,776,391	4,980,846	28,699,352	7,218,688

16 Creditors: amounts falling due within one year

	Group	2023	Company	2023
	2024		2024	
	£	£	£	£
Notes				
Bank loans and overdrafts	7,120,479	4,232,439	7,120,479	4,108,882
Other borrowings	6,543,739	3,380,475	6,543,739	3,380,475
Trade creditors	6,314,944	3,095,609	2,527,999	2,030,650
Amounts owed to group undertakings	-	-	16,158,668	-
Other taxation and social security	622,023	585,942	417,729	322,045
Other creditors	949,641	1,161,872	635,053	776,421
Accruals and deferred income	3,279,879	3,396,562	1,172,114	1,983,699
	24,830,705	15,852,899	34,575,781	12,602,172

Bank loans and overdrafts represents trade finance loans on which interest is payable at 3.15%.

Other borrowings represents loan notes of £900,000 (2023: £2,025,000) on which interest is charged at 15% per annum, loan notes of £4,288,264 (2023: £nil) on which interest is charged at 8% per annum and is rolled up into the loan note balance on a 6 monthly basis and a loan of £1,355,475 (2023: £1,355,475) on which interest accrues at a rate of 14% per annum payable on a quarterly basis.

The loans are secured by means of a fixed and floating charge over all property and undertakings of the company.

Gozney Group Limited**Notes to the financial statements (continued)
For the year ended 31 March 2024****17 Creditors: amounts falling due after more than one year**

	Group		Company	
	2024	2023	2024	2023
Notes	£	£	£	£
Debenture loans	814,390	3,964,741	814,390	3,964,741
Bank loans and overdrafts	2,789,878	-	-	-
	<u>3,604,268</u>	<u>3,964,741</u>	<u>814,390</u>	<u>3,964,741</u>

Debenture loans relate to loan notes issued during the year. Interest is charged at a rate of 15% per annum. Loan notes are repayable between December 2025 and December 2026. In the prior year debenture loans relate to loan notes on which interest is charged at 8% per annum and is rolled up into the loan note balance on a 6 monthly basis.

During the year a new facility was issued for a maximum draw down of \$7,000,000. The redemption date of this facility is January 2026. The facility is secured over the assets, goods and property of Gozney Inc. Interest is charged at 10.35%.

18 Provisions for liabilities

	Group		Company	
	2024	2023	2024	2023
	£	£	£	£
Commercial business restructure	168,045	-	168,045	-
	<u>168,045</u>	<u>-</u>	<u>168,045</u>	<u>-</u>

Movements on provisions:

	Commercial business restructure £
Group and company	
Additional provisions in the year	<u>168,045</u>

The business has decided to pause operations in the commercial oven sector in order to focus on the rapid growth opportunity in the consumer oven sector. With the timing of a relaunch uncertain, we have provided for the values of remaining inventory and associated costs as best known at the year ended 31 March 2024.

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**19 Deferred taxation**

The following are the major deferred tax liabilities and assets recognised by the group and company, and movements thereon:

	Liabilities	Liabilities	Assets	Assets
	2024	2023	2024	2023
Group	£	£	£	£
Accelerated capital allowances	-	-	(505,507)	(133,768)
Tax losses	-	-	858,447	296,240
Short term timing differences	-	-	1,360	-
	<u>-</u>	<u>-</u>	<u>354,300</u>	<u>162,472</u>
	<u><u>-</u></u>	<u><u>-</u></u>	<u><u>354,300</u></u>	<u><u>162,472</u></u>

	Liabilities	Liabilities	Assets	Assets
	2024	2023	2024	2023
Company	£	£	£	£
Accelerated capital allowances	-	-	(505,507)	(133,768)
Tax losses	-	-	858,447	296,240
Short term timing differences	-	-	1,360	-
	<u>-</u>	<u>-</u>	<u>354,300</u>	<u>162,472</u>
	<u><u>-</u></u>	<u><u>-</u></u>	<u><u>354,300</u></u>	<u><u>162,472</u></u>

	Group	Company
	2024	2024
	£	£
Movements in the year:		
Asset at 1 April 2023	(162,472)	(162,472)
Credit to profit or loss	(191,828)	(191,828)
Asset at 31 March 2024	<u>(354,300)</u>	<u>(354,300)</u>

As at 31 March 2024 the group and company had taxable losses totalling £17,085,707 (2023: £13,973,932) representing a deferred tax asset of £4,271,426 (2023: £3,272,730). In the opinion of the directors, there is insufficient evidence that the full asset will be recovered at the current time. The directors are of the opinion that the asset recognised in relation to 12 months forecast profits is recoverable and should be recognised.

20 Retirement benefit schemes

	2024	2023
	£	£
Defined contribution schemes		
Charge to profit or loss in respect of defined contribution schemes	<u>171,055</u>	<u>163,406</u>

Gozney Group Limited**Notes to the financial statements (continued)
For the year ended 31 March 2024****20 Retirement benefit schemes (continued)**

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the group in an independently administered fund.

21 Share-based payment transactions

The company operates an Enterprise Management Incentive share option plan. During the year a number of Ordinary share options were granted and can be exercised when exercise conditions are met, which is then the vesting date.

The Ordinary shares carry rights to vote, they can be considered for dividends, and have the right to a share in capital on the sale of the business/shares.

Group and company	Number of share options		Weighted average exercise price	
	2024 Number	2023 Number	2024 £	2023 £
Outstanding at 1 April 2023	6,840,448	5,562,013	0.08	0.03
Granted	-	1,278,435	-	0.31
Expired	(352,336)	-	0.31	-
Outstanding at 31 March 2024	<u>6,488,112</u>	<u>6,840,448</u>	<u>0.07</u>	<u>0.08</u>
Exercisable at 31 March 2024	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

The options outstanding at 31 March 2024 had an exercise price ranging from £0.0200 to £0.3050, and a remaining contractual life of between 4 and 5 years.

Group and company

The fair value of the options was calculated by assessing the group market value, third party reports and adjusting for the risks and restrictions built in to recognised share option valuation models.

22 Share capital

Group and company	2024	2023	2024	2023
Ordinary share capital	Number	Number	£	£
Issued and fully paid				
Ordinary Shares of 0.0001p each	-	159,015,283	-	159
Ordinary A Shares of 0.0001p each	159,472,440	-	159	-
Ordinary B Shares of 0.0001p each	11,061,780	-	11	-
	<u>170,534,220</u>	<u>159,015,283</u>	<u>170</u>	<u>159</u>

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**22 Share capital (continued)**

Ordinary A shares - each share is entitled to one vote in any circumstances and entitled pari passu to dividend payments or any other distribution. The shares are not redeemable.

Ordinary B shares - each share is entitled to one vote in any circumstances and entitled pari passu to dividend payments or any other distribution. The shares are not redeemable.

Upon a return of capital or a distribution of assets on a liquidation (other than a conversion, redemption of shares or the purchase by the company of its own shares), the surplus assets of the company remaining after the payment of its liabilities shall be applied in the following order: First, in paying to each holder of Ordinary B shares, the B share amount; second in paying the balance of the proceeds to the holders of the Ordinary A and B shares.

Reconciliation of movements during the year:

	Ordinary Number	Ordinary A Number	Ordinary B Number
At 1 April 2023	159,015,283	-	-
Issue of fully paid shares	-	457,157	11,061,780
Reclassification of shares	(159,015,283)	159,015,283	-
At 31 March 2024	-	159,472,440	11,061,780

Ordinary shares were re-designated to Ordinary A shares on 7 March 2024.

Ordinary B shares were issued on 7 March 2024.

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**23 Reserves****Profit and loss reserves****Share capital**

The share capital reserve represents the nominal value of the shares issued.

Share premium

The share premium reserve represents the amounts received in excess of the nominal value of shares issued.

Profit and loss

The profit and loss reserve represents cumulative profits and losses, net of dividends paid and other adjustments.

24 Operating lease commitments**Lessee**

At the reporting end date the group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	Group		Company	
	2024	2023	2024	2023
	£	£	£	£
Within one year	204,662	86,903	202,624	68,165
Between two and five years	850,048	39,714	850,048	39,714
	<u>1,054,710</u>	<u>126,617</u>	<u>1,052,672</u>	<u>107,879</u>

25 Related party transactions**Remuneration of key management personnel**

The remuneration of key management personnel is as follows.

	2024	2023
	£	£
Aggregate compensation	<u>1,091,268</u>	<u>879,049</u>

Other information

Gozney Group Limited**Notes to the financial statements (continued)
For the year ended 31 March 2024****25 Related party transactions (continued)**

In accordance with FRS102 (Section 33.1A) the company has taken advantage of the exemption from the requirement to disclose related party transactions with group companies on the basis that those group companies are wholly owned within the group.

During the year, the group received £600,000 in loans from the director which was fully repaid during the year plus the sum of £61,026 in respect of interest due on these loans.

As at the year end, an amount of £228,261 (2023: 228,261) is due from key management personnel in respect of unpaid shares.

During the year management fees of £183,309 (2023: £nil) were charged by a company controlled by a director. As at the year end the group and company owed £183,309 (2023: £15,608 owed from) to a company controlled by a director.

26 Directors' transactions

Description	% Rate	Opening balance £	Amounts advanced £	Amounts repaid £	Closing balance £
Director's loan	-	(358,955)	535,780	(176,825)	-
		<u>(358,955)</u>	<u>535,780</u>	<u>(176,825)</u>	<u>-</u>

27 Cash absorbed by group operations

	2024 £	2023 £
Loss for the year after tax	(1,612,832)	(8,977,512)
Adjustments for:		
Taxation charged/(credited)	106,562	(108,069)
Finance costs	1,613,486	848,115
Investment income	(6,340)	-
Loss on disposal of tangible fixed assets	61,460	-
Amortisation and impairment of intangible assets	119,022	96,667
Depreciation and impairment of tangible fixed assets	798,691	372,073
Foreign exchange gains on cash equivalents	-	13,900
Increase in provisions	168,045	-
Movements in working capital:		
(Increase)/decrease in stocks	(3,143,723)	1,245,631
Increase in debtors	(5,840,285)	(1,132,260)
Increase in creditors	2,864,680	3,105,931
Cash absorbed by operations	<u>(4,871,234)</u>	<u>(4,535,524)</u>

Gozney Group Limited**Notes to the financial statements (continued)**
For the year ended 31 March 2024**28 Analysis of changes in net debt - group**

	1 April 2023	Cash flows	Market value	Exchange rate	31 March
			movements	movements	2024
	£	£	£	£	£
Cash at bank and in hand	1,206,712	2,316,088	-	(20,996)	3,501,804
Trade finance	(4,108,882)	(3,011,597)	-	-	(7,120,479)
	<u>(2,902,170)</u>	<u>(695,509)</u>	<u>-</u>	<u>(20,996)</u>	<u>(3,618,675)</u>
Borrowings excluding overdrafts	(7,468,773)	(3,135,287)	456,053	-	(10,148,007)
	<u>(10,370,943)</u>	<u>(3,830,796)</u>	<u>456,053</u>	<u>(20,996)</u>	<u>(13,766,682)</u>
	<u><u>(10,370,943)</u></u>	<u><u>(3,830,796)</u></u>	<u><u>456,053</u></u>	<u><u>(20,996)</u></u>	<u><u>(13,766,682)</u></u>